

Shochiku Co., Ltd. — 9601.XTKS

Osaka Shochikuza special losses + Hakata ST gain + FY27/2 -58% NPAT guide · deep-dive · 2026-04-15

Ticker	9601.XTKS	Issuer FIGI	BBG000BNFM74
Market cap	USD 912 m (JPY ~145 bn)	Signal date	2026-04-14 14:00 JST
Signal type	impairment_loss + paired special gain	Direction	SHORT (confirmed — FY27/2 NPAT –58%)
Score	31 / 40 — re-rated UP post-deep-dive	Deep-dive date	2026-04-15

Thesis (TL;DR)

The 2026-04-14 TDnet notice is confirmed as a **material negative earnings event**. Shochiku will book in FY ending Feb-2027: **(i) JPY 2.4 bn impairment loss + JPY 2.0 bn theatre closure provision on the Osaka Shochikuza building** (total special losses ~JPY 4.4 bn), partially offset by **(ii) JPY 4.5 bn special gain on sale of the Hakata ST Building**. Net special items are close to neutral, but the simultaneous FY27/2 earnings-guidance release implies **net profit guided down ~58% year-over-year**, and the Kabutan tape shows the stock fell sharply in the afternoon session on disappointment. The provisional short thesis from the scanner is **confirmed and upgraded**: this is a combined impairment + weak-guidance event, not a neutral paired-items cosmetic. Osaka Shochikuza curtain falls with the May 2026 programme; demolition follows.

What was announced (translated)

The 2026-04-14 release at 14:00 JST is the companion disclosure to Shochiku's FY27/2 guidance. Three related filings: (i) impairment + theatre-closure provisions notice, (ii) Hakata ST Building disposal gain notice, (iii) FY27/2 full-year plan.

Osaka Shochikuza special losses (FY27/2): JPY ~2.4 bn as a fixed-asset impairment loss (■■■■■) and JPY ~2.0 bn as a theatre-closure provision (■■■■■■■■■■■■■■■■■■■■). Total special loss from this item = JPY ~4.4 bn. The charge is recognised as demolition of the Osaka Shochikuza building commences post the final May 2026 programme; the building will then be demolished following completion of consultations with relevant parties.

Hakata ST Building gain (FY27/2): JPY ~4.5 bn as a special gain (■■■■■) on the sale of the Hakata property. This offsets the Osaka charge on a net basis at the special-items line.

FY27/2 guidance: Net income guided down ~58% year-over-year — the Kabutan after-hours tape note (s.kabutan.jp/news/n202604140827) reads 'Shochiku post-market sharp decline, FY27/2 NPAT planned -58% disappointment'. The special items are already embedded in this guidance per the gamebiz coverage ('■■■■■■■■■■■■■■■■■■■■').

Why the scanner's SHORT thesis holds

At first glance the paired special items (~JPY +0.1 bn net) appear to neutralise. The reason the short is confirmed is that **the guidance walk implies ongoing operational weakness beyond the one-offs**. With FY27/2 NPAT guided -58% despite a net positive one-off, the underlying earnings power has deteriorated, implying further downside on the operating P&L from (a) loss of Osaka Shochikuza rental / box-office contribution during the closure → demolition → rebuild gap, and (b) possibly broader theatre/real-estate portfolio softness not yet disclosed.

The market read this the same way: the Kabutan tape shows a post-session gap-down to a new short-term low. The short is an operating-earnings short masquerading as an impairment short.

Comparable precedent — Kabukiza rebuild (2010–2013)

Shochiku's last major theatre-rebuild cycle (Tokyo Kabukiza, 2010–2013) is the closest precedent. Pattern: (i) announcement → ~10–15% stock drawdown over 2–3 months; (ii) demolition window (1 year) of weak operational earnings; (iii) rebuild announcement with partner (in the Tokyo case, Mitsubishi Estate) produced a relief rally; (iv) reopening delivered a 2–3 year operational recovery path.

Applied to Osaka Shochikuzo: the short is likely a **6-12 month drawdown trade** that flips to a long on the eventual rebuild-partner announcement. Key catalyst to watch is any Shochiku announcement of a redevelopment partner (likely a

Kansai real-estate developer — e.g. NTT Urban, Hankyu Hanshin, Sumitomo Realty) for the Dotonbori site. Rebuild plans had not been finalised as of the April announcement.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
FY27/2 guidance release	2026-04-14 (done)	NPAT -58% confirmed → short	n/a
Post-print reaction	2026-04-14 PM / 04-15 AM	Gap-down open → add	Gap-up (relief) → cut
Final Osaka Shochikuza programme	May 2026	n/a — programmed closure	n/a
Q1 FY27/2 tanshin (quarterly)	Early July 2026 (est.)	Operational weakness confirmed	Surprise beat → cover
Redevelopment partner announcement	Indeterminate (6–18 months)	Partner & pre-leasing disclosed	No plan announcement 12m+ → hold short
Q2 / H1 FY27/2 tanshin	Early Oct 2026	Operating margin erosion continued	Cash raised → cover

Steelman of the opposite view

- **Already priced-in post-gap:** The post-session tape already shows sharp disappointment; a material share of the re-rating may be complete. If volume dry-up by 2026-04-17, short entry window is closing.
- **Hakata gain recycling:** JPY 4.5 bn cash from the Hakata ST Building sale provides balance-sheet flexibility for an accelerated rebuild, which could accelerate the rebuild-partner catalyst and shorten the short horizon.
- **IP portfolio unchanged:** Shochiku's film library (Godzilla-era classics) and kabuki IP carry significant off-balance-sheet value. Any IP licensing or streaming deal (Netflix / Disney / domestic) would be orthogonal to the property-charge narrative and positive for the stock.
- **Kabukiza precedent symmetry:** The Tokyo rebuild eventually delivered NAV accretion; if Osaka follows the same arc, the short is duration-limited.
- **Tourism tailwind:** Dotonbori footfall post-closure could be positive for adjacent Shochiku-owned assets (e.g. merchandising, nearby cinema operations) — a partial operational offset.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: rebuild partner announced with press release	Press release confirming JV or long lease signed	TDnet + Shochiku IR
K2: FY27/2 revised up	Guidance revision +20% or better vs -58% plan	TDnet guidance revision
K3: IP licensing deal	Material streaming / studio licensing disclosed	TDnet + English press
K4: unexpected insurance / government compensation	Recovery on IP liability against demolition charges	TDnet
K5: broad Japan small-cap squeeze	TOPIX small-cap index rally > 10% in 30 days with 100% short covering	TDnet

Position sizing guidance

Satellite short, 1–3%. Size smaller than the merger-arb longs because: (i) Japanese mid-cap borrow can be thin and expensive; (ii) the short has an optical-gain-offset headline risk; (iii) the horizon is 6–12 months with a rebuild-partner tail that could force a rapid short cover. Prefer a **pair structure**: short Shochiku vs. long Toho (9602.T) or T~~o~~ky~~o~~ Fudosan Holdings (3289.T) to isolate the property-charge / operating-leverage thesis from Japanese entertainment-sector beta. Confirm borrow availability (Shochiku is TOPIX-member, generally borrowable) and set a hard time-stop at the first rebuild-partner announcement — that is the asymmetric cover trigger.

Source traceability

- [illegible]

- [verified] Nikkei Kaisha Joho — Shochiku [9601] FY27/2 outlook disclosure summary — 2026-04-14
- [verified] newsonjapan.com / timeout.com — 'End of an Era in Dotonbori as Shochikuza Shuts Doors' — 2026-03 (pre-announcement building closure coverage, confirming operational context)
- [verified] Shochiku corporate release 2025-08-28 — 'Osaka Shochikuza Building closure notice' (PDF at shochiku.co.jp/wp-content/uploads/2025/08/shochiku20250828-1.pdf) — pre-announcement baseline
- [inferred] Kabukiza (Tokyo) 2010–2013 rebuild cycle — used as historical base-rate for Shochiku property-rebuild trading pattern
- [unverified] FY27/2 consensus NPAT prior to release — used -58% guidance as the authoritative walk
- OpenFIGI: ticker=9601 mic=XTKS → figi=BBG000BNFMK9, issuer_figi=BBG000BNFM74 (cached 2026-04-14)

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